

EXTENDED BUSINESS PLAN: ROADMAINTAIN SAAS

Digital Road Infrastructure Management & Citizen Reporting Platform

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1. EXECUTIVE SUMMARY

1.1. Mission and Vision

RoadMaintain is an innovative B2G (Business-to-Government) SaaS platform designed to digitize, streamline, and optimize the maintenance of public road infrastructure. By seamlessly connecting citizens (drivers and pedestrians) who report road issues with public road maintenance utility companies in real-time, we eliminate outdated, bureaucratic, and fragmented communication channels (such as paper reports, unstructured emails, and unofficial Viber groups).

Our **Mission** is to empower municipalities and road utilities with modern digital tools to repair road infrastructure faster, safer, and more transparently.

Our **Vision** is to become the leading infrastructure management software provider in Southern and Eastern Europe, paving the way for data-driven "Smart Cities" and safer roads.

1.2. The Problem and the Solution

- **The Problem:** Public road maintenance companies and municipal utility sectors lack a structured digital workflow. Crucial information regarding potholes, road damage, landslides, damaged guardrails, and obscured road signs gets lost in administrative delays. Consequently, field response times are slow, resource allocation is inefficient, and citizens have zero visibility or trust in the reporting process.
- **The Solution:** An integrated, multi-tenant platform consisting of three key components:
 1. **Citizen Web Application:** A lightweight, mobile-responsive interface that allows citizens to report road hazards in just two clicks (complete with photo uploads and automatic GPS tagging)—without requiring any app store downloads.
 2. **Back-Office Administrative Dashboard:** A robust control center for dispatchers, municipal planners, and utility managers to automatically generate, assign, prioritize, and track work orders.
 3. **Field Team Portal:** A mobile-friendly interface for road crews on the ground to receive work orders, navigate to locations, update task statuses, and upload "Before/After" photos of repairs.

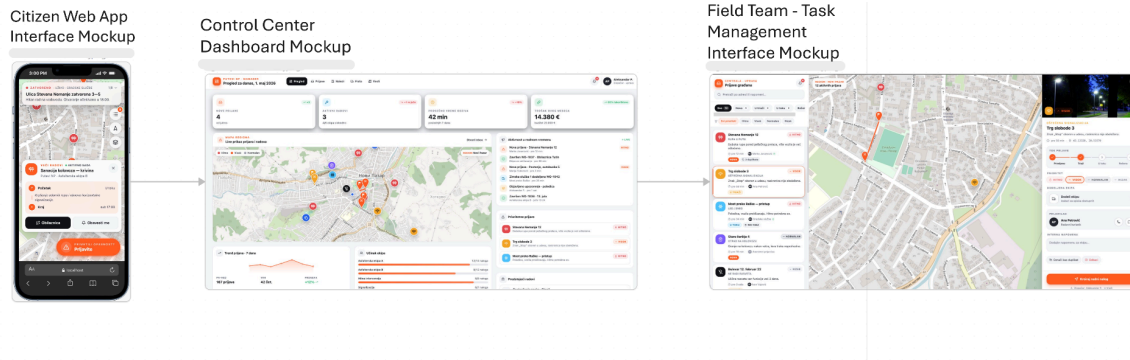
1.3. Unfair Advantage & Team Domain Expertise

RoadMaintain possesses a unique, highly defensible market position (unfair advantage) built upon:

- **Deep Industry & Technical Expertise:** Our co-founder brings over 40 years of hands-on experience in road construction and maintenance, including two decades as a site manager (*šef gradilišta*) and occupational safety engineer at one of the largest regional road maintenance enterprises. This direct insider knowledge ensures our software mimics actual, practical field operations rather than theoretical assumptions.
- **Direct Customer Access & Public Context:** We hold direct, established relations with the leadership of local public road utilities and regional administrative bodies. Furthermore, close ties with the local European House provide an active channel to EIT Urban Mobility and European Union smart-city funding programs.

2. PRODUCT & TECHNOLOGY ARCHITECTURE

RoadMaintain operates as a highly secure, multi-tenant SaaS application hosted on resilient cloud infrastructure. The ecosystem consists of three interconnected modules designed to ensure instant synchronization:



2.1. Citizen Web Application

- **Accessibility:** Built as a Progressive Web App (PWA) requiring no installation. Accessible via QR codes printed on municipal notices or public websites.
- **Core Functionality:** Two-click reporting. Users upload a picture of the road issue, select a category (e.g., pothole, traffic sign, landslide), and the system auto-detects their GPS coordinates.
- **Feedback Loop:** Citizens can opt to receive automated progress notifications (e.g., "Report Received," "Work Order Scheduled," "Repair Completed").

2.2. Back-Office Administrative Dashboard

- **Dispatcher Control Center:** Map-centric visualization of all live incidents, color-coded by severity, category, and status.
- **Intelligent Work Order Generation:** Dispatchers convert citizen reports into official work orders with a single click. Orders are populated with geographical location, photo evidence, and scheduled completion windows.
- **Resource & Asset Management:** Tracking of available field crews, machinery, and materials required for specific interventions.

2.3. Field Team Portal

- **On-the-Field Interface:** Simple, high-contrast, touch-optimized web UI designed for field personnel operating under various weather conditions.
- **Status Updates:** Field crews click to mark when they arrive on-site, pause for resources, or complete the task.
- **Quality Assurance:** Requires the field crew to upload a live photo of the completed repair before a work order can be closed. This provides instant, auditable proof of work.

3. MARKET & COMPETITOR ANALYSIS

3.1. Target Market & Customer Profile

Our primary target audience is the B2G segment, consisting of:

- **Local Municipalities (Cities & Opštine):** Public directorates for construction and urban

planning that allocate municipal budgets for local street maintenance. (Serbia alone comprises 145 municipalities and 29 cities).

- **Contracted Road Maintenance Enterprises:** Private or public utility enterprises that hold multi-year government contracts for routine and winter road upkeep.

3.2. Market Size Metrics (TAM, SAM, SOM)

- **Total Addressable Market (TAM):** €15 Million annually, representing the complete Smart Cities software and infrastructure maintenance market in the Western Balkans.
- **Serviceable Addressable Market (SAM):** €3 Million annually, representing specialized road maintenance software and citizen reporting systems for local councils and utility providers in Serbia, Bosnia & Herzegovina, and Montenegro.
- **Serviceable Obtainable Market (SOM):** €66,620 annually, representing our realistic target for the first 2 years—acquiring 12 municipal/utility accounts in Serbia.

3.3. Competitor Analysis

Our platform directly competes with three classes of alternatives, positioning itself as a highly specialized, localized, and budget-friendly solution:

Competitor / Alternative	Strengths	Weaknesses	RoadMaintain Differentiation
Traditional Methods (Viber, Paper, Excel, phone calls)	Free of charge; highly familiar to municipal employees.	High rate of lost reports, complete lack of live tracking, zero data analytics, slow operational response.	Provides structured, automated workflows. Saves dispatcher hours and strictly enforces field crew accountability.
Global Enterprise Players (SeeClickFix, FixMyStreet Pro)	Highly mature, feature-rich global platforms.	Extremely high pricing (€15k–€60k/year), not localized, lack of regional support, complex public procurement barriers.	Highly competitive, localized pricing matching Balkan municipal budgets; fully tailored to regional reporting standards.
Generic Municipal ERP/DMS Systems	Broad software suites covering all municipal departments.	Not optimized for road-specific maintenance, complex interface for field workers, lack GIS routing and maps.	Highly streamlined, specialized road maintenance workflow developed directly with domain field experts.

3.4. Go-to-Market & Sales Strategy

Because public procurement in B2G is characterized by long sales cycles and bureaucratic hurdles, our marketing and sales approach relies on three main pillars:

1. **Direct Relationship-Driven Sales:** Leveraging our co-founder's extensive, decades-long professional credibility in the regional road construction sector to bypass administrative cold-calling and schedule live product demonstrations directly with key decision-makers.
2. **The "Local Champion" Strategy:** Securing a small, localized cluster of pilot municipalities. By demonstrating immediate, tangible public praise and drastic improvements in field repair speed (case studies), we trigger organic peer-to-peer adoption among neighboring municipalities.
3. **EU Innovation & Digitalization Channels:** Positioning RoadMaintain as an eligible project for European Smart City initiatives, EIT Urban Mobility accelerators, and Western Balkan digital transition grants. This allows municipalities to adopt our software using pre-allocated external funds rather than internal taxpayer budgets.

4. SWOT ANALYSIS

Based on our internal strategic audits and local regional parameters, we have identified the following internal and external factors:

4.1. Strengths

- **Unfair Domain & Advisory Advantage:** Our co-founder's 40+ years in physical road construction and safety management provides a direct "industry passport" to target organizations. He speaks the language of both municipal directors and field workers, giving the team unmatched credibility over generic software agencies.
- **Direct Commercial and Institutional Access:** Direct relations with regional road utility CEOs and the regional European House provide immediate test-beds for MVP validation and direct paths into EU funding bodies (e.g., EIT Urban Mobility).
- **Clear, Purpose-Built B2G SaaS Structure:** Unlike generic project managers, our platform has a highly structured, validated workflow designed exclusively for B2G road management (Citizen Application → Admin Dashboard → Field Team Portal → Automated Proof-of-Work Archive).
- **Local and Regional Market Familiarity:** We possess localized language capability, deep understanding of Balkan municipal bureaucracies, and localized product compliance. This allows us to deliver a tailored experience that international software majors cannot cost-effectively localize.

4.2. Weaknesses

- **Initial Financial & Resource Constraints:** Operating as an early-stage, self-funded or pre-seed startup restricts our ability to immediately hire large sales forces, expand engineering teams, or launch expansive marketing campaigns.

- **High Dependency on Key Personnel:** Early-stage sales velocity, institutional trust, and industry credibility rest heavily on the co-founder's personal network and reputation.
- **Lack of Broad-Market Brand Awareness:** While highly respected within our immediate geographic region, the RoadMaintain brand is initially unknown in broader national and international circles.

4.3. Opportunities

- **EU Green Transition & Digitalization Funding:** Significant capital is being deployed through the EIT Urban Mobility, Horizon Europe, and regional pre-accession IPA funds to support smart cities, digital administration, and carbon-reduction projects.
- **Under-digitized B2G Market Niche:** Competitors in the municipal space are either generic ticketing tools (lacking spatial, road-specific focus) or massive, expensive Enterprise GIS packages. RoadMaintain occupies a highly attractive "sweet spot"—affordable, hyper-focused, and incredibly easy to use.
- **AI-Driven Damage Detection Integration:** The potential to build computer-vision models that automatically analyze citizen-submitted photos to grade pothole depth, classify damages, and auto-prioritize work orders, positioning us at the cutting edge of tech.
- **Regional Replicability (Western Balkans & Beyond):** Neighboring countries face identical bureaucratic structures, infrastructure issues, and language commonalities, creating low barriers to regional cross-border scaling.

4.4. Threats

- **Slow, Complex Public Procurement Cycles:** Municipal procurement processes can be prolonged, subject to rigorous tender regulations, and easily delayed by annual budget reallocations or political transitions.
- **Staff Digital Illiteracy and Resistance to Change:** Field maintenance crews and older administrative dispatchers are highly accustomed to paper slips and phone calls. If training is not managed carefully, they might informally bypass the software.
- **Budgetary Pressures and Shifting Political Priorities:** In developing or lower-income municipalities, a large share of the infrastructure budget is strictly reserved for physical labor and machinery. Software systems may be viewed as non-essential overhead during economic downturns.
- **Regulatory & Political Volatility:** Changes in local municipal leadership, local municipal procurement laws, or national smart-city strategies can deprioritize digital road systems in favor of alternative infrastructure sectors (e.g., public lighting, biking lanes, public transit).
- **Spam, Security, and Trust Risks:** Deliberate citizen misuse (spamming fake potholes or reporting the same issue repeatedly to skew municipal stats) or data-privacy leaks could damage utility relations and harm the platform's reputation in its early roll-out phases.
- **Generic Tools & Relationship-Driven System Integrators:** Established local IT consulting houses with pre-existing government relations can pitch generic, custom-built tools (e.g., custom Planfix or SharePoint setups) that are "good enough" to win tenders, competing on political relationships rather than specialized feature sets.

5. OPERATIONAL & FINANCIAL DEVELOPMENT PLAN (YEARS 1–2)

During the initial 2-year cycle, RoadMaintain focuses on lean MVP development, pilot testing, and establishing domestic market presence with minimal initial expenses and optimized asset management.

5.1. Projected Expenses (Years 1–2)

We leverage highly cost-effective, premium vector mapping technologies with custom optimization layers to completely avoid expensive commercial Map API fees (such as Google Maps API) during our early growth phase.

Expense Category	Year 1 (EUR)	Year 2 (EUR)	Description
Product Development (Nominal Stipends)	€7,200	€18,000	Baseline developer compensation during early-stage MVP and pilot phases.
Hosting, Infrastructure & API Services	€600	€1,800	Hetzner/AWS cloud hosting, geocoding, and map rendering engines.
B2G Marketing & Sales	€1,200	€3,600	Direct sales presentations, municipal forums, and regional travel costs.
Administration, Legal & Accounting	€1,000	€2,000	Company registration, specialized B2G contract drafting, and bookkeeping.
Total Annual Expenses	€10,000	€25,400	Total lean operational overhead.

5.2. Projected Revenue (Years 1–2)

- **Year 1 Target:** Finish MVP, execute 1 successful free pilot project to establish a regional case study, and close 3 paid contracts (2 Small, 1 Medium).
- **Year 2 Target:** Geographical expansion across the region, reaching 12 active accounts (7 Small, 4 Medium, 1 Large).

Revenue Stream	Year 1 (EUR)	Year 2 (EUR)	Calculation Breakdown
Setup Fees (One-time)	€3,500	€15,500	Y1: (2 x €1,000 + 1 x €1,500) Y2: (7 x €1,000 + 4 x €1,500 + 1 x €2,500)
SaaS Subscriptions (Annual)	€10,920	€51,120	Y1: (2 x €2,760 + 1 x €5,400) Y2: (7 x €2,760 + 4 x €5,400 + 1 x €10,200)
Total Annual Revenue	€14,420	€66,620	Combined gross revenue.
NET MARGIN (Revenue - Expenses)	+€4,420	+€41,220	Demonstrates rapid, lean early profitability.

5.3. Phased Product Implementation & Timeline

- **Phase 1 (Months 1–12):** Validate MVP with 3 initial local municipalities. Gather detailed UX feedback from citizen interactions and field crew behaviors. Establish baseline operational data (e.g., average repair turnaround times, budget savings).
- **Phase 2 (Months 13–36):** Direct commercial scale up across the domestic market, growing active clients from 12 to 20. Introduce robust analytics, automated reporting, and regional language packs.
- **Phase 3 (Months 37–60):** Scale into neighboring Western Balkan markets (Bosnia & Herzegovina, Montenegro, North Macedonia) to reach 45+ clients. Roll out advanced

computer vision (AI) integrations to automatically analyze and classify uploaded photos.

5.4. Customer Onboarding & Setup Workflow

Every municipal customer onboarding follows a strict, repeatable 3-step operational playbook:

1. **Configuration (Week 1–2):** Define municipal boundaries, upload existing maintenance zones, register active field crews, and assign system access levels.
2. **Training (Week 3):** Conduct brief, highly interactive workshops. Present simple, icon-driven walkthroughs for field crews (Field Portal) and comprehensive dashboard simulations for control center dispatchers.
3. **Deployment & Launch (Week 4):** Generate and display public QR codes, launch localized social media citizen announcements, and activate the live citizen reporting module.

6. FINANCIAL PROJECTIONS & FIVE-YEAR OUTLOOK

Our financial model is designed to deliver immediate cash-flow independence in the early stages, followed by aggressive margin expansion as our customer base scales from a localized test group to a regional SaaS player.

6.1. Pricing Strategy (Municipal Packages)

RoadMaintain uses a highly predictable **B2G SaaS Pricing Model** featuring a one-time implementation/setup fee and a recurring annual subscription fee based on the size of the municipality:

- **Small Package (Municipalities up to 30k residents):**
 - **Monthly Subscription Equivalent:** €230 / month
 - **Annual SaaS Subscription:** €2,760 / year (billed annually)
 - **One-Time Setup Fee:** €1,000
- **Medium Package (Municipalities/Enterprises up to 80k residents):**
 - **Monthly Subscription Equivalent:** €450 / month
 - **Annual SaaS Subscription:** €5,400 / year (billed annually)
 - **One-Time Setup Fee:** €1,500
- **Large Package (Cities/Enterprises over 80k residents):**
 - **Monthly Subscription Equivalent:** €850 / month
 - **Annual SaaS Subscription:** €10,200 / year (billed annually)
 - **One-Time Setup Fee:** €2,500

6.2. Key Financial Variables & Break-Even Analysis

The operational calculations below are modeled on Year 2 variables, demonstrating the platform's high financial leverage:

- **Fixed Monthly Expenses (F):** €1,800 / month (covers developer retention, core administrative overhead, marketing, hosting, and standard software maintenance).

- **Variable Monthly Cost per Client (V): €30 / month per active client** (reflects incremental cloud database writes, map geocoding queries, and customer support resources).
- **Weighted Average Monthly Subscription Price (P): €430 / month** (derived from our targeted customer mix of Small, Medium, and Large municipalities).

Contribution Margin (M):

$$M = P - V = 430 \text{ EUR} - 30 \text{ EUR} = 400 \text{ EUR per client / month}$$

Break-Even Point (BEP):

$$\text{BEP (Active Clients)} = \frac{F}{M} = \frac{1,800 \text{ EUR}}{400 \text{ EUR}} = 4.5 \text{ clients}$$

Strategic Conclusion: To completely offset all fixed and variable monthly operational expenditures, RoadMaintain must support a minimum of **5 active municipal clients** on our medium-tier package. Given our sales timeline to reach 12 clients by the end of Year 2, we project reaching the break-even milestone in Q1 of Year 2. Every single client added beyond the 5th directly expands our net margin, showcasing the profitability of this B2G SaaS architecture.

6.3. Extended Five-Year Financial Outlook (Base-Case Scenario)

Based on high contract stickiness (very low B2G churn due to deep process integration) and conservative, realistic market expansion, our 5-year outlook is presented below across three interconnected tables:

Table 1: Client Growth & Segment Mix (Years 1–5)

This table displays active client growth and the segment mix from Year 1 to Year 5:

Year	Small Clients	Medium Clients	Large Clients	Total Active Clients	New Clients Added
Year 1	2	1	0	3	3
Year 2	6	5	1	12	9
Year 3	10	8	2	20	8
Year 4	15	13	4	32	12

Year 5	20	18	7	45	13
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Note: Client counts are net cumulative values. Churn is assumed at 0% due to multi-year municipal contracts and deep digital integration into local government workflows.

Table 2: Annual Revenue Stream Breakdown (EUR)

This table shows how revenue streams are generated through one-time implementation/setup fees and recurring SaaS subscriptions:

Year	SaaS Recurring Revenue	Setup / Integration Revenue	Total Annual Revenue
Year 1	€10,920	€3,500	€14,420
Year 2	€54,120	€12,500	€66,620
Year 3	€99,220	€11,000	€110,220
Year 4	€161,680	€17,500	€179,180
Year 5	€239,600	€20,000	€259,600

Setup revenues are recognized only in the year a municipality is acquired (based on "New Clients Added" from Table 1).

Table 3: Profit & Loss (P&L) Summary (EUR)

This table shows our consolidated operational costs and net margins over 5 years:

Year	Total Revenue	Operating Expenses (OPEX)	Net Profit / (Loss)	Net Profit Margin
Year 1	€14,420	€22,680	(€8,260)	-57.3%
Year 2	€66,620	€25,400	€41,220	61.9%
Year 3	€110,220	€43,800	€66,420	60.3%
Year 4	€179,180	€62,200	€116,980	65.3%
Year 5	€259,600	€80,600	€179,000	69.0%

OPEX includes fixed software maintenance, development salaries, cloud hosting, support, and marketing expenses, scaling with client volume.

Annual Net Profit Growth Trend (EUR):

Y1 (Loss): (-€8,260) —> Y2: €41,220 —> Y3: €66,420 —> Y4: €116,980 —> Y5: €179,000

6.4. Strategic Financial Conclusions

1. **Early Self-Sustainability:** In Year 1, as we acquire and onboard our first 3 clients, we incur a minor net operating loss of **€8,260** due to initial setup and server expenses. However, by Year 2, our recurring revenues fully support our fixed operational costs. This leads to a solid net profit of **€41,220** and establishes strong financial stability.
2. **Extremely High Net Margins:** As we scale to 20 clients in Year 3 and 45 clients by Year 5, our profit margins stabilize at around **65% to 69%**. This is a direct benefit of our low variable costs per client and our highly optimized fixed operational overhead.
3. **Low Market Churn Risk:** Public procurement contracts are highly stable and reliable. Once RoadMaintain is integrated into municipal databases and public workflows, the software becomes highly sticky. This guarantees incredibly predictable, multi-year cash flows.
4. **Excellent Investment Readiness:** By Year 5, with annual recurring revenues (ARR) approaching **€260,000** and a net profit of **€179,000**, RoadMaintain will be perfectly positioned to attract Series A venture capital. This funding can be used to scale operations across larger European Union markets.